THE SESSION · POST-CLOSE READ

Silicon Lifts *Both Sleeves*

A roughly 6% advance in semiconductors and Caterpillar's first $20 billion quarter carried the S&P 500 up 1.78%. Dividend Strategy added 1.55% and the Growth Portfolio 2.28% — each finishing within a quarter-point of its benchmark.

S&P 500 ▲ 1.78% NASDAQ ▲ 2.58% DOW ▲ 1.71% VIX 16.42 BRENT ▼ $79.36

DIVIDEND STRATEGY

▲ BEAT DVY · BEHIND SPY

+1.55% 1-DAY

FCI	+1.55%
DVY	+0.89%
SPY	+1.77%

YTD **+22.56%** vs DVY +17.47% · SPY +13.68%

GROWTH PORTFOLIO

▼ TRAILED IUSG

+2.28% 1-DAY

FCI	+2.28%
IUSG	+2.45%

YTD **+19.47%** vs IUSG +15.48%

THE SESSION

Both sleeves closed within a quarter-point of their benchmarks on a session that belonged to semiconductors. The S&P 500 added 1.78% to 7,735.60 and the Nasdaq 2.58% to 26,581.99, with the PHLX Semiconductor Index up roughly 6% as Marvell introduced its next-generation AI memory and storage products and AMD ran into an after-close report. Dividend Strategy gained 1.55%, ahead of DVY's 0.89% and a fraction behind SPY's 1.77%. The Growth Portfolio added 2.28% against IUSG's 2.45% — a seventeen-basis-point gap on a day when the growth benchmark's heaviest constituents were precisely the names doing the lifting. Our own semiconductor exposure sits on both sides of the house, and both sides worked: MRVL, CRDO and AMD in the Growth Portfolio, LRCX, QCOM, ADI and TEL in Dividend Strategy.

The industrial half of the day came from Caterpillar, which reported second-quarter sales and revenues of $20.5 billion, up 24% year over year and the first quarter in company history above $20 billion. Adjusted profit per share was $8.17 against roughly $6.20 expected, and the order backlog reached $72.1 billion, up 92% from a year ago. Management raised its full-year revenue growth outlook to the mid-to-high teens. The shares opened near $924, gave back most of the gap through the session, and closed at $876.54, up 5.60%. The fade is worth noting without over-reading it. Power and energy — generators and turbines sold largely into data centers — has now passed construction equipment as Caterpillar's largest segment by sales, which is a structural fact about the business rather than a quarterly one.

> *A backlog up 92% year over year is a claim on the next several years of earnings. The intraday fade is a claim on the next several hours. We are paid to hold the first.*

The other half of the session ran the other way. Brent settled at $79.36, down 5.3%, and WTI at $75.77, after Treasury Secretary Scott Bessent told CNBC that a deal to reopen the Strait of Hormuz could come within days. Chevron eased 1.44% and CNX 1.08%; ONEOK held better at −0.67% despite the crude move, having raised its 2026 guidance for the second time this year on record NGL raw feed throughput. The merchant-power complex was the day's clear laggard, with Vistra down 8.15% and Constellation 2.36% on no company-specific news attached to either. That is the tension worth sitting with: Caterpillar handed the AI build-out an audited receipt in the morning, and by the afternoon the companies that will sell the electricity to run it were marked lower on sentiment alone. We own both ends of that trade on purpose, and neither end changed today.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

MRVL +12.81% GROWTH
Introduced next-generation AI memory and storage products at the FMS event, including the Bravera SC6 PCIe 6.0 controller. Q2 results due August 27.

CRDO +8.96% GROWTH
Carried by the broad AI-networking bid; the PHLX Semiconductor Index advanced roughly 6% on the session.

HRMY +8.93% GROWTH
Q2 earnings of $1.28 per share against $0.96 expected, on revenue of $261.3 million, up 30.3% year over year.

LRCX +7.85% DIVIDEND
Semicap equipment repriced with the sector as hyperscaler capital-spending expectations were revised higher.

QCOM +7.32% DIVIDEND
Advanced with memory and analog peers on the sector-wide bid; no company-specific catalyst identified.

DECLINERS

HUT −9.74% GROWTH
Q2 revenue and earnings below consensus. A second 352 MW Beacon Point lease was secured after quarter-end.

VST −8.15% GROWTH
Eased with the merchant-power cohort on no company-specific news, three sessions ahead of Friday's Q2 report.

CEG −2.36% DIVIDEND
Traded down alongside the same AI-power group as investors weighed build-out payback periods.

ATAT −1.56% GROWTH
Gave ground as the tape rotated toward semiconductors, industrials and domestic cyclicals.

ABT −1.55% DIVIDEND
Healthcare lagged a session led by technology and capital goods; no company-specific catalyst identified.

HOLDINGS NEWS

AMD reported after Tuesday's close. The Growth Portfolio holding advanced 7.00% to $518.58 during the session ahead of its second-quarter report. Company guidance going in called for revenue of approximately $11.2 billion, plus or minus $300 million — roughly 46% growth year over year — against published consensus near $11.3 billion and $1.61 per share. For an owner, the quarter itself is close to pre-announced; what matters is the second-half ramp behind it: MI350 shipment cadence, the Helios rack-scale order book, and data-center accelerator guidance. We will carry the numbers in tomorrow's edition rather than trade the headline tonight.

Hut 8 missed on both lines and added capacity. The Growth Portfolio holding reported second-quarter revenue and earnings below consensus and closed 9.74% lower at $101.16, the portfolio's largest decline. Adjusted EBITDA rose to $10.45 million from $4.20 million a year ago. After quarter-end the company secured a second 352 MW lease at its Beacon Point campus, taking total contracted capacity to 949 MW and expected base-term contract value to $26.6 billion. The reported quarter is a snapshot of a business the company is in the middle of replacing; the contracted book is the figure with a longer half-life.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.56%

vs DVY +17.47% / SPY +13.68%

GROWTH PORTFOLIO

+19.47%

vs IUSG +15.48%